

2025 indirect cost recovery and year-end settlement

FOR SIGNATURE — NOT YET EXECUTED Nothing here binds either party until both have signed below.

BETWEEN

Youngstown Business Incubator

241 W Federal St
Youngstown, OH 44503
ybi.org

AND

NCDMM / America Makes

6800 Innovation Blvd
Johnstown, PA 15904

1. Purpose

This memorandum records the parties' understanding of the basis on which Youngstown Business Incubator will recover indirect cost on the NCDMM / America Makes subrecipient agreements primed through FA8650-20-2-5700, and the treatment of the difference between what was invoiced for 2025 and what that basis supports. It is accompanied by an agreement amendment setting out the figures for each project.

2. Background

Youngstown Business Incubator invoiced 2025 on a loaded labour rate, with indirect cost recovered inside the labour line rather than stated as an indirect line. Of the 3 projects covered here, two carried no indirect line at all, and Last Tactical Mile stated 44,400.00. 2 CFR 200.414(f) charges a de minimis rate as a rate on modified total direct cost and does not contemplate indirect embedded in an undisclosed loaded labour rate, so the parties are correcting the basis rather than the amount of any one invoice.

3. Regulatory basis

The de minimis rate is an election, and 2 CFR 200.414(f) ends it on the recipient's own choice: once elected, a recipient or subrecipient must use it for all Federal awards until it chooses to receive a negotiated rate. No term of years, no award cycle and no Federal agency release conditions that choice. Where no federally negotiated rate exists, 2 CFR 200.332(a)(4) requires the pass-through entity to determine the appropriate rate in collaboration with the subrecipient, and names a rate negotiated between the two as one of the two available options. The parties proceed on that paragraph. Allowability throughout is governed by 2 CFR 200 Subpart E, which each agreement names; FAR Part 31 does not apply to a subaward under Federal financial assistance.

4. The rate structure

Youngstown Business Incubator classified its 2025 general ledger into cost pools and sealed the classification before any rate was computed. Fringe is 21.90% — a pool of 401,783.60 over the payroll register's 1,835,047.17. Indirect is an overhead pool of 584,774.52 and a general and administrative pool of 585,875.91, together 1,170,650.43 over modified total direct cost of 4,736,602.11, giving indirect combined of 24.71%. The occupancy cost of space let or available to let is removed under 2 CFR 200.465, and depreciation on federally funded assets under 2 CFR 200.436(b), before the pool is allocated.

5. Scope

This memorandum covers the 3 subrecipient agreements primed through FA8650-20-2-5700: Drive AM, Hybrid Phase 2 and Last Tactical Mile. Awards primed through a different Federal instrument are deliberately excluded, because Federal award funds are not fungible between programmes and a difference arising on one programme may not be settled against another.

Youngstown Business Incubator

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MEMORANDUM OF UNDERSTANDING

10/07/2026

2025 close-out · FA8650-20-2-5700

THE RATE BELOW HAS BEEN SUPERSEDED

These positions were measured on an indirect combined rate of 24.71%, which the record now carries as superseded. Recompute before issuing.

6. The 2025 positions

Against 1,134,879.16 invoiced across the 3 projects, the restated basis supports 977,418.46. Taken award by award and never netted in either party's records, that is 201,421.30 collected above what the basis supports and 43,960.60 of supported cost not recovered. The accompanying amendment states each project separately.

7. Treatment of the net difference

For settlement purposes only, the parties note a net difference of 157,460.70 across all 3 projects and agree to treat it as unrecoverable by either party for 2025. Neither party will issue an invoice, credit, refund or claim in respect of it. This is a settlement mechanism and not a restatement of either party's books: each party's records continue to carry both directions in full.

8. What each party will do

Youngstown Business Incubator will provide the restated invoices for each month of 2025, the indirect rate build-up and the classification behind it, and will apply the restated basis prospectively from 2026 on these agreements. NCDMM / America Makes will countersign the accompanying amendment and name the modification instrument for each agreement where one is required.

9. What this is not

This memorandum is not an admission by either party of an overcharge or an underpayment, does not reopen or settle any period other than 2025, and establishes no precedent for the rate applicable to any other period. Nothing here alters the ceiling, the period of performance, the statement of work or the cost share obligation of any agreement.

CHANGE-OF-BASIS AUTHORITY ON THE RECORD

Drive AM	no clause on the record
Hybrid Phase 2	\$4.4
Last Tactical Mile	\$4.4 Expense Changes; \$4.7

NOT CERTIFIED — nobody has put their name to the rate these figures rest on. The rate has been recomputed since it was certified, so the signature is on a build-up that no longer stands. Sign the new one. Nothing here is blocked by that: this is a working document, and it says so rather than waiting.

AGREED

For Youngstown Business Incubator

For NCDMM / America Makes

Signature

Signature

Name and title

Name and title

Date

Date